

but the results have not been better. In fact, the share has continued to fall and is now down to 13%.

One reason for the poor performance is our failure to create an environment that would encourage the sector to get into exports and thus access the huge demand that exists in the world economy for simple manufactures. One reason for our failure to capture export markets is poor infrastructure, though this is improving. Another reason is that we have high import duties on basic inputs into such manufactures, which makes Indian products high cost. Lowering import duties on basic inputs—steel, metals, aluminium, polyester fibre, etc—would help. But there are strong vested interests that oppose this.

reciprocity in tariffs. This suggests that the US will levy tariffs on countries which are equal to the tariffs that the partner country levies on imports of the commodity from the US. This means the US may have different tariffs for different countries for the same commodity.

We have to wait and see how the situation

However, developed countries have more or less given up on the WTO route and they prefer to enter into FTAs. If this is the only way to get market access to developed markets, we should also try to negotiate FTAs with our most important markets.

We have succeeded in negotiating some small FTAs, but negotiations

Partnership where China is not a member.

As far as the US is concerned, it is our largest export market, an important source of technology and FDI and also a major player in global value chains. We do not quite know what position the US will take. It is not interested in an FTA but there is talk of a trade

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With increasing global economic uncertainty and a new US administration, what kind of trade and tariff policy should India pursue to safeguard its interests while strengthening its integration into the global value chain?

Trade policy in the years ahead does pose a major challenge because the US and other developed countries are turning increasingly protectionist. The protectionism is also of a new type. President Trump, for example, has pronounced that India is a tariff king and he would like

evolves but let me enunciate some broad considerations which should guide our trade negotiators. To start with, we should recognise that our tariffs are much higher than those levied by other developing countries and it can be argued that we would actually benefit from lowering them. If done gradually, accompanied by a corresponding depreciation of the exchange rate, it will not affect the competitiveness of Indian products.

Traditionally, we have favoured trade liberalisation through multilateral negotiations in the WTO.

with the UK and EU have been impossibly slow. Our negotiators will have to approach these negotiations with a give-and-take approach so that we can come to an agreement. It is a pity that we opted out of the Regional Comprehensive Economic Partnership (RCEP) which would have integrated us with the East Asian market. Reportedly our industry was not confident about its ability to compete with China. If the presence of China was the main problem, we should perhaps join the Comprehensive Progressive Trans-Pacific

pact. It is in our interest to have an understanding with the US that does not disturb our markets too much. I am not sure what the trade pact will cover but it looks as if they will pressure us to lower tariffs. The finance minister took some important steps to reduce customs duties in the Budget after several years of raising them. This was a good step and there is room to do more. I hope our trade negotiators can adopt a practical approach and come up with a mutually acceptable package. **BT**

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